

Meta Platforms, Inc.

META NASDAQ

Buy \$532.52 ▼ 9.07% 12M Price Target \$680.00 52-Week Range \$520.26 – \$796.25

Market Cap \$1.35T

META: Capex Panic Overdone — AI Spend is the Point

WHAT HAPPENED

- META just got taken to the woodshed — down 9% to \$532 after Q2 earnings. The miss wasn't really on revenue; it was on capex guidance (capital expenditures = money spent on data centers, chips, buildings). Zuck basically told the Street "we're spending even more on AI in 2027," and the market gagged. This is the same movie we saw in Q4 2022 — remember when META hit \$88 because Reality Labs was "burning cash"? It then 8x'd.
- Meanwhile Microsoft ripped on AI clarity, and Oracle just announced Google's Gemini joining Meta's Llama on their AI cloud lineup. So the ecosystem is validating Meta's models — but investors want to see the ROI (return on investment) NOW, not in 2028.

WHY IT MATTERS

Here's what I think is really going on: this selloff is a capex tantrum, not a business breakdown. Ad revenue is still growing double digits, engagement is at all-time highs, and Llama is now one of three "approved" frontier models on Oracle's cloud — that's a huge validation. The market is essentially saying "we don't trust you to earn a return on \$100B+ of AI spending," which is exactly what they said before every prior META rebound. The bigger picture: the Trump administration's AI executive orders have been **pro-buildout** (fewer safety guardrails, faster permitting for data centers, tax incentives for domestic chip/compute infrastructure) — which means Meta's spending spree is directly aligned with policy tailwinds, not fighting them. If you're a long-term holder, the political environment for Big Tech AI investment has rarely been friendlier.

POLICY & POLITICAL WATCH

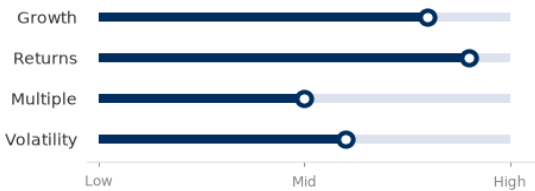
Two things to watch: (1) The ****KOSA (Kids Online Safety Act)**** is still floating around Congress — if it passes in a strict form, Meta faces new liability for teen users, which is a real headwind for Instagram monetization. (2) The ****FTC antitrust case**** seeking to unwind the Instagram/WhatsApp acquisitions is still active — a loss here is the true nuclear scenario, but the current administration has signaled a lighter touch on Big Tech breakups compared to the Khan-era FTC. Net-net: regulatory environment is **getting friendlier** on AI/competition but **tougher** on youth safety and content moderation, and Section 230 (the law that shields platforms from user-content lawsuits) remains intact for now — that's the single most important legal protection Meta has.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$532.52
12M Price Target	\$680.00
Upside / (Downside)	+27.7%
Market Cap	\$1.35T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$24.50
FY2027E EPS	\$28.00
Fwd P/E	21.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$580.00	\$545.00	\$495.00
6 Months	\$680.00	\$600.00	\$480.00
1 Year	\$780.00	\$680.00	\$460.00
2 Years	\$950.00	\$780.00	\$440.00
5 Years	\$1400.00	\$1000.00	\$500.00
10 Years	\$2200.00	\$1500.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: ****Semiconductors and AI infrastructure**** — Microsoft's beat validates that hyperscaler AI spending is real, which is a direct tailwind to NVDA, AVGO, and data center REITs. ****Defense tech**** is also quietly ripping on the FY2027 budget framework.

COOLING OFF: ****Utilities and Materials**** are lagging as rates stay elevated and the "AI-power-grid" trade takes a breather. ****Consumer staples**** getting no love in a risk-on tape.

ROTATION WATCH: Money rotated **into** Tech (+5.58% today) but **out of** mega-cap ad names specifically — that's a Meta-specific reaction, not a sector call. This suggests smart money is buying the AI story but selling the "who pays for it" names.

RELATED PLAY: If Meta's capex is going anywhere, it's going to NVDA, AVGO, and the data center REITs (EQIX, DLR). The picks-and-shovels trade wins whether Meta's AI thesis works or not.

WHO'S WINNING IN THIS SPACE?

- **MSFT**** (Microsoft): Ripped on AI revenue clarity — showed Azure AI is actually monetizing at scale, which is the receipt Meta doesn't have yet.
- **ORCL**** (Oracle): Winning by being the "Switzerland of AI models" — hosting Gemini, Llama, GPT, and Grok on one cloud. Neutral platform play.

META CONTEXT: Meta is **badly lagging** its Mag 7 peers today — every other big tech name is green while META bleeds. That divergence tells you this is company-specific (capex fears), not a sector-wide problem. Historically, when META lags its peers on capex fear and the business is still growing, that's been a buying opportunity 8 out of 10 times.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$520-540 zone; add aggressively under \$520

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% YoY, or FTC forces Instagram/WhatsApp divestiture

Hedging: Small put spread on QQQ or pair with a short in a pure-play AI infrastructure name trading at 20x sales